

AMD FY2026 Q2 Earnings Preview

Report: August 4, 2026 after close | Call: 17:00 ET | Decision-ready preview

Core View

AMD's fundamentals remain strong, but the hurdle is now higher than a modest revenue and net-income/EPS beat. The shares are up about 47% since the prior earnings-day close. The reaction should depend on Q3 guidance, data-center mix, earnings quality, and the second-half MI450/Helios ramp.

1 Consensus, Management Guidance, and Information State

Metric	Market Estimate	Management Guidance	Decision Use
Q2 revenue	\$11.28B-\$11.30B	\$11.2B +/- \$0.3B	Market about 0.7% above midpoint
Non-GAAP net income / EPS	\$2.57B-\$2.67B implied / \$1.55-\$1.61	No explicit guide	Use 1.66B shares; test quality
Non-GAAP gross margin	No stable public consensus	About 56%	Primary profitability hurdle
Non-GAAP OpEx	No stable public consensus	About \$3.3B	Test AI R&D; leverage
Q3 revenue	About \$12.48B	To be disclosed	Most important stock variable
Diluted shares	-	About 1.66B	Net-income-to-EPS bridge

REPORTED	GUIDED	ESTIMATED
Q1 statements, official release, and call facts	Q2 revenue, margin, OpEx, and product cadence	Consensus and this report's decision thresholds

2 Q1 Normalized Baseline and Q2 Decision Hurdles

Metric	Q1 Reported	Normalization / Quality Check	Q2 Decision Hurdle
Revenue	\$10.253B	+38% year over year; flat sequentially	\$11.1B-\$11.5B is Base
GAAP / non-GAAP GM	52.8% / 55.0%	Separate SBC, intangible amortization, and mix	Non-GAAP below 55.5% veto
GAAP / non-GAAP OpEx	\$3.940B / \$3.145B	R&D; \$2.397B, or 23.4% of revenue	Above \$3.465B veto
GAAP / non-GAAP net income	\$1.383B / \$2.265B	+\$882M adjustment; reconcile to operations	\$2.49B-\$2.81B implied Base
GAAP / non-GAAP diluted EPS	\$0.84 / \$1.37	Net income / 1.650B diluted shares	\$1.50-\$1.69 is Base
OCF / CapEx / FCF	\$2.955B / \$0.389B / \$2.566B	Includes \$456M working-capital release	Judge cash quality ex-working capital
Inventory / total debt	\$8.045B / \$3.871B	Inventory +1.6% sequentially	Inventory growth should match revenue

Net-income and EPS bridge: Q1 net income increased from \$1.383B GAAP to \$2.265B non-GAAP, while diluted EPS increased from \$0.84 to \$1.37 on 1.650B diluted shares. The +\$882M net-income bridge includes SBC, acquired-intangible amortization, acquisition costs, investment gains, tax, and discontinued operations. Cross-check both measures against GAAP / non-GAAP operating income of \$1.476B / \$2.540B.

Known: Q2 data-center revenue should grow double digits sequentially; server CPU revenue should grow more than 70% year over year; MI450 has sampled to lead customers.

Unresolved: Instinct contribution, the Q3 revenue slope, Helios initial Q3 volume and major Q4 ramp, gross-margin dilution, memory costs, and inventory cash use.

Sources: DefeatBeta AMD FY2026 Q1 call and three statements; AMD Investor Relations; Benzinga, TickerLeague, and TwelveData consensus.

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3 Six-Dimension Weighted Decision Model

Ranked Dimension	Weight	Bull Evidence	Bear Evidence
Q3 revenue guidance	25%	Midpoint at least \$12.9B	Midpoint below \$12.0B
Data-center revenue and mix	25%	At least \$6.7B; Instinct visible	Below \$6.3B or CPU-led only
Gross margin, OpEx, and leverage	20%	GM at least 56.5%; OpEx at most \$3.3B	GM below 55.5% or OpEx overspend
Net income, diluted EPS, and quality	15%	NI at least \$2.82B; EPS at least \$1.70; operating-led	NI or EPS misses by more than 10%; weak quality
Cash conversion, inventory, capacity	10%	Strong FCF without working-capital support	Inventory surge; lower cash quality
MI450/Helios commercialization	5%	Q3 initial volume and Q4 ramp reaffirmed	Production or deployments delayed

Score: assign -2 to +2 to each dimension. Weighted score = $\text{sum}(\text{weight} \times \text{dimension score} / 2)$. Weights total 100%. Bull at or above +0.35; Base between -0.35 and +0.35; Bear at or below -0.35.

4 Bull / Base / Bear Scorecard and Veto Gates

Scenario	Decision Rule	Q2 Revenue Reference	Non-GAAP NI / EPS	Possible Reaction
Bull	Score at least +0.35; no veto	\$11.6B-\$11.9B	\$2.82B-\$3.07B / \$1.70-\$1.85	+15% to +25%
Base	-0.35 < score < +0.35; no veto	\$11.1B-\$11.5B	\$2.49B-\$2.81B / \$1.50-\$1.69	-8% to +8%
Bear	Score at most -0.35 or any veto	No simultaneous miss required	Not required	-20% to -30%

Bear veto gates

- Q3 revenue-guide midpoint is below \$11.85B, at least 5% below current consensus.
- Non-GAAP gross margin is below 55.5%.
- Normalized net income or diluted EPS misses consensus by more than 10%, or non-GAAP OpEx exceeds \$3.465B.
- MI450/Helios initial Q3 volume or major Q4 ramp slips by at least one quarter.

Mixed-signal validation: If revenue is in line and FCF beats, but gross margin is only 55.2%, the pre-veto score may remain Base. The gross-margin veto still produces one unique Bear outcome.

5 Catalysts by Commercial Maturity

Catalyst	Current Evidence Level	What Makes It Financially Material
EPYC server CPUs	Commercial contribution	Verify volume, ASP, and margin behind more than 70% growth
MI450 / Helios	Technical progress / early operations	Q3 volume, Q4 ramp, customer deployments, revenue timing
ROCm / performance	Technical evidence	Convert into production workloads, adoption, and recognized revenue

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6 Trading Setup and Historical Reactions

July 24 Close	Since Prior Earnings Day	Since July 10	Four-Event Avg. Abs. Move
\$521.95	+46.9%	-6.4%	11.2%

Earnings Date	Earnings-Day Close	Next-Day Close	Next-Close Reaction
2026-05-05	\$355.26	\$421.39	+18.6%
2026-02-03	\$242.11	\$200.19	-17.3%
2025-11-04	\$250.05	\$256.33	+2.5%
2025-08-05	\$174.31	\$163.12	-6.4%

Options: The OptionSlam snapshot uses a \$539.69 underlying and a \$75.47 near-ATM straddle, implying about +/-14.0% through the August 5 expiration, or roughly \$464-\$615. Because expiration is the day after the August 4 after-close report, this is event-focused but still contains pre-release time value.

7 Ten-Minute Post-Release Checklist

Elapsed Time	Read	Decision
0-2 min	Q2 revenue, net income, diluted EPS, Q3 guide, four veto gates	Flag any veto immediately
2-5 min	Data center, CPU/Instinct mix, GM, OpEx	Build normalized operating-profit bridge
5-8 min	OCF, working capital, inventory, CapEx, FCF	Test cash quality and supply investment
8-10 min	MI450/Helios cadence, deployments, revenue timing	Score each dimension; assign one scenario

8 Update Plan, Sources, and Risk

Date	Update
2026-07-27	Freeze baseline, weights, scenario ranges, and veto gates
2026-08-03	Refresh consensus, price, ATM straddle, and analyst revisions
2026-08-04	Score the release; record vetoes, final scenario, and forecast errors

AMD Report Date | Q1 Results | Benzinga | OptionSlam | DefeatBeta

Risk disclosure: Consensus, price, and options data change continuously. Scenario ranges, normalizations, and veto thresholds reflect analyst judgment and are not investment advice.